

The pattern is valid. Thank goodness; otherwise I'd have to consider replacing the figure.

Focus on Failures

What can we learn from failures? [Figure 28.5](#) shows what I call a 5% failure—the failure of the stock to climb more than 5% above the breakout.



[Figure 28.5](#) This is a 5% failure, where price fails to climb much above the breakout price.

The bottom price variation for this double bottom looks wide, but the difference is only 4%. If you scan through the identification characteristics listed in [Table 28.1](#), you will find that the pattern confirms as a true Eve & Adam double bottom.

Why does price fail to rise much above the confirmation price? The answer is typical for these types of failures: overhead resistance. If you were to look at the historical price series for the stock, you would find two tops in